

SECTION 1: CONTRACT GOVERNANCE

Rule 1.1 - Contract Approval

Every regulated banking entity shall ensure that contracts with customers, vendors, service providers, and third-party agencies are reviewed and approved by an authorized officer before execution.

Rule 1.2 - Approval Authority

Contracts exceeding an internal financial threshold of INR 10,00,000 shall require approval from the designated senior management authority.

Rule 1.3 - Record Maintenance

The regulated entity shall maintain a complete copy of every executed contract for a minimum period of 8 years from the date of termination of the contract.

Rule 1.4 - Contract Identification

Every contract shall contain a unique contract identification number, execution date, effective date, expiry date, and details of the parties involved.

SECTION 2: CUSTOMER CONTRACTS

Rule 2.1 - Clear Language

Customer contracts shall be written in clear and understandable language. Important financial obligations, fees, penalties, and termination conditions shall be prominently disclosed.

Rule 2.2 - Charges and Fees

All applicable fees and charges shall be disclosed to the customer before execution of the contract.

Rule 2.3 - Modification of Charges

A banking entity shall not introduce a new customer charge without providing prior written notice to the affected customer.

Rule 2.4 - Customer Consent

Material changes to the terms and conditions of an existing customer contract shall require appropriate customer notification and consent where applicable.

Rule 2.5 - Copy of Contract

The customer shall be provided with a copy of the executed agreement through an appropriate physical or electronic channel.

SECTION 3: THIRD-PARTY AND OUTSOURCING CONTRACTS

Rule 3.1 - Third-Party Due Diligence

Before entering into an agreement with a third-party service provider, the regulated entity shall conduct appropriate due diligence regarding the provider's financial stability, operational capability, security controls, and regulatory history.

Rule 3.2 - Service-Level Agreement

Contracts with critical service providers shall contain measurable service-level requirements, including availability, response time, resolution time, and reporting obligations.

Rule 3.3 - Audit Rights

The regulated entity shall retain the right to review and audit the service provider's compliance with contractual obligations.

Rule 3.4 - Regulatory Access

Third-party contracts shall contain provisions allowing the regulated entity and authorized regulatory authorities to obtain information relevant to regulatory compliance.

Rule 3.5 - Subcontracting

A service provider shall not subcontract a material portion of the contracted services without obtaining prior written approval from the regulated entity.

Rule 3.6 - Incident Reporting

The service provider shall notify the regulated entity of any material security incident or operational disruption within 24 hours of becoming aware of the incident.

SECTION 4: DATA PROTECTION AND CONFIDENTIALITY

Rule 4.1 - Customer Data

Contracts involving customer information shall specify the responsibilities of each party for protecting customer data.

Rule 4.2 - Confidentiality

The receiving party shall maintain confidentiality of customer information and shall not disclose such information except where permitted by applicable law or contractual provisions.

Rule 4.3 - Data Access

Access to customer information shall be restricted to authorized personnel who require the information for legitimate business purposes.

Rule 4.4 - Data Retention

Contracts shall specify the permitted retention period for customer information and the process for secure deletion after the retention period expires.

Rule 4.5 - Data Breach

Contracts involving sensitive customer information shall contain obligations relating to detection, reporting, investigation, containment, and remediation of data security incidents.

SECTION 5: TERMINATION AND EXIT MANAGEMENT

Rule 5.1 - Termination Clause

Contracts shall contain clearly defined conditions under which either party may terminate the agreement.

Rule 5.2 - Regulatory Breach

The regulated entity may terminate a contract where the service provider commits a material breach of regulatory or contractual obligations.

Rule 5.3 - Exit Plan

Contracts involving critical outsourced services shall include an appropriate exit and transition mechanism.

Rule 5.4 - Return of Data

Upon termination of a contract, the service provider shall return or securely delete customer and banking data according to the contractual requirements.

Rule 5.5 - Business Continuity

Termination of a critical service provider shall not result in unreasonable disruption to essential banking operations.

SECTION 6: RISK MANAGEMENT

Rule 6.1 - Contract Risk Assessment

The regulated entity shall perform a risk assessment before entering into contracts involving critical banking operations.

Rule 6.2 - Periodic Review

High-risk contracts shall be reviewed at least once every 12 months.

Rule 6.3 - Risk Classification

Contracts shall be classified as Low Risk, Medium Risk, or High Risk based on factors including financial exposure, operational dependency, customer impact, data sensitivity, and regulatory significance.

Rule 6.4 - Escalation

Material contractual risks that exceed approved risk limits shall be escalated to the designated risk management authority.

SECTION 7: CONTRACT MONITORING

Rule 7.1 - Compliance Monitoring

The regulated entity shall monitor compliance with material contractual obligations throughout the contract lifecycle.

Rule 7.2 - Performance Review

Critical service providers shall undergo periodic performance reviews against defined contractual service levels.

Rule 7.3 - Non-Compliance

Material contractual non-compliance shall be documented and corrective action shall be initiated within a reasonable period.

Rule 7.4 - Exception Management

Any approved exception to contractual requirements shall be documented along with the reason, approving authority, risk assessment, and validity period.

SECTION 8: RECORD KEEPING

Rule 8.1 - Contract Repository

The regulated entity shall maintain contracts in a controlled repository with appropriate access restrictions.

Rule 8.2 - Version Control

Changes to contracts shall be version-controlled to preserve the history of amendments and approvals.

Rule 8.3 - Amendment Records

Every amendment shall contain the amendment date, description of changes, approving authority, and effective date.

Rule 8.4 - Accessibility

Authorized personnel shall be able to retrieve contractual records within a reasonable period when required for internal audit, compliance review, or regulatory examination.

SECTION 9: COMPLIANCE BREACHES

Rule 9.1 - Identification

Potential violations of contractual or regulatory requirements shall be identified and recorded by the responsible compliance function.

Rule 9.2 - Corrective Action

The regulated entity shall establish corrective actions for identified compliance deficiencies.

Rule 9.3 - Material Breaches

Material breaches shall be escalated to senior management and the appropriate governance committee.

Rule 9.4 - Repeat Violations

Repeated violations by the same service provider shall trigger a documented risk reassessment and may result in enhanced monitoring or termination of the relationship.

SECTION 10: AUDIT AND GOVERNANCE

Rule 10.1 - Internal Audit

Contracts classified as high risk shall be subject to periodic internal audit review.

Rule 10.2 - Audit Evidence

The regulated entity shall maintain sufficient documentation to demonstrate compliance with contractual approval, monitoring, and review requirements.

Rule 10.3 - Governance Committee

Material contractual risks and significant exceptions shall be reported to the appropriate governance committee.

Rule 10.4 - Management Reporting

Management reports shall include information on significant contract breaches, upcoming contract expirations, high-risk vendors, unresolved compliance issues, and material contractual disputes.

END OF DUMMY DOCUMENT

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This document is fictional and created exclusively for testing an AI/RAG compliance application.